EDUCATIONAL SERVICE UNIT NO. 2
FREMONT, NEBRASKA
STATEMENT OF NET POSITION – MODIFIED CASH BASIS
JUNE 30,2025

ASSETS	
Cash and cash equivalents	6,087,290
Due from other government	32,071
Due from county treasurer	20,479
TOTAL ASSETS	6,139,840
LIABILITIES	
Due to other government	-
NET POSITION	
Restricted:	
Grant funds - Federal Lunch Program	21,856
Grant funds - Master of Education program	271,950
Unrestricted	5,846,034
Total Net Position	6,139,840
TOTAL LIABILITIES AND NET POSITION	6,139,840

See accompanying notes to financial statements.

EDUCATIONAL SERVICE UNIT NO. 2
FREMONT, NEBRASKA
STATEMENT OF ACTIVITIES – MODIFIED CASH BASIS
FOR THE YEAR ENDED JUNE 30, 2025

		Program Receipts		Net (Disbursements) Receipts and Changes in Net Position
				Primary Government
	Disbursements	Charges for Services	Operating Grants and Contributions	Total Governmental Activities
FUNCTIONS/ PROGRAMS				
Governmental activities:				
Instruction	2,056,287			(2,056,287)
Student support services	2,777,230	4,270,961		1,493,731
Instructional support	1,414,361			(1,414,361)
General administration	341,261			(341,261)
Central services	1,822,955	1,058,596		(764,359)
Operation and maintenance of plant	262,364			(262,364)
Other support services	70,487			(70,487)
Nutrition program	24,620	5,274	23,168	3,822
Private and state categorical programs	528,208		847,648	319,440
Building and acquisition	1,949,898			(1,949,898)
Federal Programs	9,515,650		12,224,281	2,708,631
Non-program expenditures	9,833	9,833		-
Total governmental activities	20,773,154	5,344,664	13,095,097	(2,333,393)
General receipts				
Local taxes				2,329,604
County taxes				1,459
State taxes				342,850
Interest income				221,863
Total general receipts				2,895,776
CHANGE IN NET POSITION				562,383
NET POSITION, beginning of year				5,577,457
NET POSITION, end of year				6,139,840

See accompanying notes to financial statements.

EDUCATIONAL SERVICE UNIT NO. 2
FREMONT, NEBRASKA
BALANCE SHEET – MODIFIED CASH BASIS
JUNE 30, 2025

ASSETS	
Cash and cash equivalents	6,087,290
Due from other government	32,071
Due from county treasurer	20,479
TOTAL ASSETS	6,139,840
LIABILITIES	
Due to other government	-
FUND BALANCE	
Restricted:	
Grant funds - Federal Lunch Program	21,856
Grant funds - Master of Education program	271,950
Unrestricted	5,846,034
Total Fund Balance	6,139,840
TOTAL LIABILITIES AND FUND BALANCE	6,139,840
Fund balance as shown above	6,139,840
Reconciling items - None	-
Net position of governmental activities	6,139,840

See accompanying notes to financial statements.

EDUCATIONAL SERVICE UNIT NO. 2
FREMONT, NEBRASKA
STATEMENT OF RECEIPTS, DISBURSEMENTS,
AND CHANGES IN FUND BALANCE – MODIFIED CASH BASIS – GENERAL FUND
FOR THE YEAR ENDED JUNE 30, 2025

RECEIPTS	
Local sources	7,886,298
County sources	1,459
State sources	1,190,498
Federal sources	12,247,449
Other receipts	9,833
Total receipts	21,335,537
DISBURSEMENTS	
Instruction	2,056,287
Student support services	2,777,230
Instructional support	1,414,361
General administration	341,261
Central services	1,822,955
Operation and maintenance of plant	262,364
Other support services	70,487
Nutrition program	24,620
Private and state categorical programs	528,208
Building and acquisiton	1,949,898
Federal programs	9,515,650
Non-program expenditures	9,833
Total disbursements	20,773,154
NET CHANGE IN FUND BALANCES	562,383
FUND BALANCE, beginning of year	5,577,457
FUND BALANCE, end of year	6,139,840
Net change in fund balance shown above	562,383
Reconciling items - None	-
Change in net position of governmental activities	562,383

See accompanying notes to financial statements.

EDUCATIONAL SERVICE UNIT NO. 2
FREMONT, NEBRASKA
STATEMENT OF RECEIPTS, DISBURSEMENTS,
AND CHANGES IN FUND BALANCE – MODIFIED CASH BASIS – GENERAL FUND
FOR THE YEAR ENDED JUNE 30, 2025

NOTE 1: SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES

The Governmental Accounting Standards Board (GASB) is the accepted standard-setting body for establishing governmental accounting and financial reporting principles. The following is a summary of the significant accounting policies of Educational Services Unit No. 2 (ESU 2), a governmental entity established under and governed by the State of Nebraska.

Reporting Entity

ESU 2 serves sixteen public school districts and nine private schools. Its professionals provide a wide variety of services to member schools, including: professional development opportunities, digital learning and internet services, and student support for individuals with special needs.

All significant activities and organizations on which ESU 2 exercises oversight responsibility have been included in ESU 2's financial statements.

In evaluating how to define the government, for financial reporting purposes, management has considered all potential component units. The decision to include a potential component unit in the reporting entity was made by applying the criteria set forth in Generally Accepted Accounting Principles (GAAP) as applied to governmental units. The basic, but not the only, criterion for including a potential component unit within the reporting entity is the governing body's ability to exercise oversight responsibility. The most significant manifestation of this ability is financial interdependency. Other manifestations of the ability to exercise oversight responsibility include, but are not limited to, the selection of governing authority, the designation of management, the ability to significantly influence operations, and accountability for fiscal matters. Other criteria are the scope of public service and existence of special financing relationships.

Based on the aforementioned criteria, there are no component units of ESU 2.

Government-Wide Statements

ESU 2 utilizes the reporting provisions of Governmental Accounting Standards Board (GASB) Statement 34, *Basic Financial Statements and Management's Discussion and Analysis for State and Local Governments* within the provisions of the modified cash

EDUCATIONAL SERVICE UNIT NO. 2
FREMONT, NEBRASKA
SCHEDULE OF RECEIPTS, DISBURSEMENTS AND CHANGES IN FUND BALANCE
MODIFIED CASH BASIS – BUDGET AND ACTUAL – GENERAL FUND
FOR THE YEAR ENDED JUNE 30, 2025

	Original and Final Budget	Actual	Over (Under) Budget
RECEIPTS			
Local sources	4,152,343	7,886,298	3,733,955
County sources	-	1,459	1,459
State sources	400,638	1,190,498	789,860
Federal sources	20,761,556	12,247,449	(8,514,107)
Other receipts	134	9,833	9,699
Total receipts	25,314,671	21,335,537	(3,979,134)
DISBURSEMENTS			
Instruction	2,210,996	2,056,287	154,709
Student support services	2,862,177	2,777,230	84,947
Instructional support	1,148,378	1,414,361	(265,983)
General administration	329,387	341,261	(11,874)
Central services	1,569,337	1,822,955	(253,618)
Operation and maintenance of plant	4,736,670	262,364	4,474,306
Other support services	8,240	70,487	(62,247)
Nutrition program	25,000	24,620	380
Private and state categorical programs	550,185	528,208	21,977
Facilities acquisition and improvement	1,356,470	1,949,898	(593,428)
Federal programs	13,765,819	9,515,650	4,250,169
Non-program expenditures	245,000	9,833	235,167
Total disbursements	28,807,659	20,773,154	8,034,505
NET CHANGE IN FUND BALANCE	(3,492,988)	562,383	(12,013,639)
FUND BALANCE, beginning of year	5,667,137	5,577,457	
FUND BALANCE, end of year	2,174,149	6,139,840	

See accompanying notes to financial statements.

EDUCATIONAL SERVICE UNIT NO. 2
FREMONT, NEBRASKA
SCHEDULE OF RECEIPTS BY SOURCE AND FUNCTION – MODIFIED CASH BASIS –
BUDGET AND ACTUAL – GENERAL FUND
FOR THE YEAR ENDED JUNE 30, 2025

		Budget	Actual	Over (Under) Budget
FUND BALANCE, beginning of year		5,667,137	5,577,457	89,680
RECEIPTS				
	Local sources			
1100	Taxes levied by ESU	2,600,203	2,328,500	(271,703)
1115	Carline taxes		1,104	1,104
1323	Tuition from ESUs with the state - special education	1,201,640	1,244,731	43,091
1380	Contracted education service receipts from District - SPED - below age 5	95,000	837,983	742,983
1385	Contracted education service receipts from District - SPED school age	185,000	2,141,381	1,956,381
1395	Contracted education service receipts from District - regular education - school age		46,866	46,866
1510	Interest on investments	25,000	221,863	196,863
1611	Daily sales - school lunch program	1,000	5,274	4,274
1620	Daily sales - non-reimbursable programs			-
1740	Fees	20,000	399,415	379,415
1925	Categorical grants from private sources			
1951	Miscellaneous revenue from ESU's within state		88,220	88,220
1955	Postsecondary receipts	13,000	21,428	8,428
1960	Miscellaneous revenues from other local government units		197,204	197,204
1970	Revenue from other departments in agency	1,500	4,601	3,101
1990	Miscellaneous local receipts	10,000	347,728	337,728
	Total local sources	4,152,343	7,886,298	3,733,955
	County sources			
2130	Other county receipts	-	1,459	1,459
	State sources			
3130	Homestead exemption		61,017	61,017
3131	Property tax credit		275,409	275,409
3133	Nameplate capacity tax		222	222
3180	Pro-rate motor vehicle		6,202	6,202
3540	State early childhood	385,638	588,450	202,812
3550	ESU Core services		92,039	92,039
3599	Other state categorical programs	15,000	12,367	(2,633)
3990	Other state receipt		154,792	154,792
	Total state sources	400,638	1,190,498	789,860

EDUCATIONAL SERVICE UNIT NO. 2
FREMONT, NEBRASKA
SCHEDULE OF RECEIPTS BY SOURCE AND FUNCTION – MODIFIED CASH BASIS –
BUDGET AND ACTUAL – GENERAL FUND
FOR THE YEAR ENDED JUNE 30, 2025

		Budget	Actual	Over (Under) Budget
	Federal sources			
4210	Federal nutrition programs		23,168	23,168
4523	IDEA Special projects		138,638	138,638
4525	Federal vocational and applied technology education (Carl Perkins)		177,113	177,113
4530	Other federal categorical receipts	20,761,556	11,676,474	(9,085,082)
4708	Medicaid in public school (MIPS)		67,761	67,761
4709	Medicaid administrative activities (MAAPS)		25,235	25,235
4969	Title IV, Part A		109,762	109,762
4994	American Rescue Plan - Homeless Children and Youth II		29,298	29,298
	Total federal sources	20,761,556	12,247,449	(8,514,107)
	Other financing sources			
9000	Non-program receipts	134	9,833	9,699
	Total receipts	25,314,671	21,335,537	(3,979,134)

See accompanying notes to financial statements.

EDUCATIONAL SERVICE UNIT NO. 2
FREMONT, NEBRASKA
SCHEDULE OF DISBURSEMENTS BY PROGRAM – MODIFIED CASH BASIS –
BUDGET AND ACTUAL – GENERAL FUND
FOR THE YEAR ENDED JUNE 30, 2025

		Budget	Actual	Over (Under) Budget
DISBURSEMENTS				
1000	Instruction			-
1100	Regular instruction	38,500	43,745	(5,245)
1200	Special education instructional programs - school age	1,771,923	1,663,304	108,619
1296	Special education instruction programs - below age 5 programs	400,573	349,238	51,335
2100	Support Services - Students			-
2141	Psychological services: SPED school age	918,142	743,078	175,064
2151	Speech pathology & audiology services: SPED school age	1,437,089	1,496,186	(59,097)
2161	Occupational Therapy: SPED school age	253,606	287,626	(34,020)
2171	Physical Therapy: SPED school age	111,206	114,454	(3,248)
2181	Visually Impaired: SPED school age	142,134	135,866	6,268
2190	Support services - other	-	20	(20)
2200	Support Services - Instruction			-
2213	Instructional staff training	1,110,878	1,398,260	(287,382)
2290	Support services - other	37,500	16,101	21,399
2300	Support Services - General Administration			-
2310	Board of Education or ESU Board of Control	16,500	5,685	10,815
2320	Executive administration	307,887	331,104	(23,217)
2330	District legal services	5,000	4,472	528
2500	Central Services			-
2510	Fiscal services	11,000	11,000	-
2530	Printing, publishing, & duplicating services	6,420	13,912	(7,492)
2560	Public information services	12,520	10,051	2,469
2570	Personnel services	404,848	359,111	45,737
2580	Administrative technology services	676,004	1,006,511	(330,507)
2590	Central services - other	458,545	422,370	36,175
2600	Operation & Maintenance of Plant			-
2610	Operation of buildings	90,050	79,251	10,799
2620	Maintenance of buildings	4,571,620	112,054	4,459,566
2630	Care & upkeep of grounds	7,000	7,486	(486)
2650	Vehicle operation, maintenance & purchasing	66,000	60,514	5,486
2660	Security	2,000	3,059	(1,059)
2900	Other Support Services			-
2900	Other support services	8,240	70,487	(62,247)
3000	Operation of Non-Instructional Services			-
3100	Food services operations	25,000	24,620	380

EDUCATIONAL SERVICE UNIT NO. 2
FREMONT, NEBRASKA
SCHEDULE OF DISBURSEMENTS BY PROGRAM – MODIFIED CASH BASIS –
BUDGET AND ACTUAL – GENERAL FUND continued
FOR THE YEAR ENDED JUNE 30, 2025

		Budget	Actual	Over (Under) Budget
DISBURSEMENTS (Continued)				
3400/3500	Private & State Categorical Programs			-
3400	Categorical grants from corporations & other private interests	107,050	131,250	(24,200)
3540	State early childhood	391,885	385,507	6,378
3552	School safety and security act		11,451	(11,451)
3599	Other state categorical programs	51,250		51,250
4000	Facilities Acquisition & Construction			-
4200	Land improvement	291,631	291,631	-
4500	Building acquisition & construction	1,064,839	1,658,267	(593,428)
6000	Federal Programs			-
6416	IDEA Part C Planning Region Team (PRT)	27,500	20,204	7,296
6418	IDEA Part B PEaK Projects	94,000	91,543	2,457
6700	Federal Vocational & Applied Technology Education		177,197	(177,197)
6969	Title IV, Part A ESEA/ESSA Student Support & Academic Enrichment	110,000	100,854	9,146
6990	Other Federal Categorical Programs	13,534,319	9,125,852	4,408,467
9000	Non-Program Expenditures			-
9000	Non-Program Expenditures	245,000	9,833	235,167
	Total disbursements	28,807,659	20,773,154	8,034,505
	FUND BALANCE, end of year	2,174,149	6,139,840	(3,965,691)
	ANALYSIS OF FUND BALANCE			
	Cash in bank			
	Checking and savings accounts		6,087,290	
	County treasurer		20,479	
	Due from other government		32,071	
	TOTAL FUND BALANCE		6,139,840	

See accompanying notes to financial statements.